One of our first special situations involved the cigarette maker Altria. In 2003, Altria’s market cap had declined close to 50 percent in response to a spate of rating agency downgrades, reflecting negative developments in a few of the larger class action litigations underway at the time. Obviously, the contingent liability for the tobacco companies was massive. So it wasn’t unreasonable that a few individual cases should have the potential to introduce meaningful uncertainty risk. Each case embedded the potential for 9- or even 10-figure settlements, not to mention the risk of setting a precedent favorable to future plaintiffs. It wasn’t hard to create a story that ended in insolvency for the tobacco companies.

At the same time, we heard a couple of smart investors argue that the ratings agencies had gotten it wrong. In their view, structural realignments were likely to protect the tobacco companies from dismemberment. Specifically, they cited a global settlement with all 50 state attorney generals and the fact that U.S. taxpayers had already gained a controlling economic interest in the tobacco companies, with the majority of revenues from cigarette sales going to various federal, state, and local government agencies.

We liked the bullish argument and decided to take a closer look. Commercial litigations tend to throw off lots of publicly available information. We learned everything we could about each of the major cases winding its way through the courts at the time. We also found lots of smart litigators who were not involved in these cases, but were following them closely. The information they provided enabled us to assign at least rough probabilities to various outcomes. We spent two months gaming out the scenarios from the tobacco litigation and concluded the discount was seriously overdone.

As a general observation, markets tend to overdiscount the uncertainty related to identified risks. Conversely, markets tend to underdiscount risks that have not yet been expressly identified. Whenever the market is pointing at something and saying this is a risk to be concerned about, in my experience, most of the time, the risk ends up being not as bad as the market anticipated.